Ref. Ares(2026)9330239 - 02/10/2026

EUROPEAN COMMISSION
DIRECTORATE-GENERAL FOR COMMUNICATIONS NETWORKS, CONTENT AND TECHNOLOGY

Resources and support
Compliance and planning

MODEL SERVICE CONTRACT

"Supporting the AI Observatory"

EC-CNECT/2026/OP/0173

NUMBER — [contract number]

1. The European Union ('the Union'), represented by the European Commission, DG CONNECT - Communications Networks, Content and Technology ('the contracting authority'), represented for the purposes of the signature of this contract by the authorised representative indicated in the respective field under "SIGNATURES" below,

of the one part and

[Option 1: The tender was submitted by a single tenderer or by a group of economic operators with a separate legal personality:

2. [*Contractor's full official name*]
[*Contractor's official legal form*]
[*Contractor's statutory registration number or ID or passport number*]
[*Contractor's full official address*]
[*OPTION for contractors with VAT: VAT registration number*]
('the contractor')*]*

[Option 2: The tender was submitted by a group of economic operators without a separate legal personality:

2. [*Include the name of the group if any* -] group of economic operators who submitted a joint tender ('the group') composed of the following members who are jointly and severally liable vis-a-vis the contracting authority for the *implementation* of this contract:
[*Contractor's official legal form*]
[*Contractor's statutory registration number or ID or passport number*]
[*Contractor's full official address*]
[*OPTION for contractors with VAT: VAT registration number*]
[appointed as the leader of the group by the members of the group that submitted the joint tender]

[*repeat the above data as many times as there are contractors in case of joint tender and continue numbering*]
(collectively "the contractor"),*]*

represented for the purposes of signing this contract by the authorised representative indicated in the respective field under "SIGNATURES" below,

on the other part,

HAVE AGREED as follows:

MAIN CONDITIONS

1. Subject matter

The title of this contract is: "Supporting the AI Observatory".

The terms and conditions applying to this contract are laid down hereafter and in the special and general conditions and their annexes. They shall be deemed to form and be read and construed as an integral part of this contract in the order described in the special conditions.

2. Contract value

The maximum amount covering all purchases under this contract is [*currency*] [*insert amount [insert amount in words]*].

3. Entry into force and duration

This contract enters into force on the date on which the last party signs it.

The maximum duration of this contract is 36 months from the date this contract enters into force.

4. Bank account

Payments shall be made in accordance with the special conditions into the following bank account:
Name of bank: [*insert bank name*]
Exact denomination of account holder: [*full name of account holder*]
Bank account number: [*insert bank account number*]

Signatures

For the contractor	**For the contracting authority**
[*signature contractor*] Done on [*date*]	[*signature contracting authority*] Done on [*date*]

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I. SPECIAL CONDITIONS

I.1. Order of precedence

The following documents shall be deemed to form and be read and construed as part of this contract:

- Main conditions,
- Special conditions (including its Appendices):
  Appendix 1 - Security provisions (Security Requirements for Commission's Contractors including Ethics Reminder for Service Providers employed by a contractor of the Commission),
  Appendix 2 - Security Baseline for External Connections – Rules for Contractors and service providers (including Acceptable Use Policy),
- General conditions for contracts and,
- the following Annexes:

Annex I – Tender specifications (call for tenders reference No EC-CNECT/2026/OP/0173 - Supporting the AI Observatory of [*insert date*]), including clarifications, answers to questions and corrigenda issued by the contracting authority during the submission phase

Annex II – Contractor's tender (reference No [*complete*] of [*insert date*]), including clarifications provided by the tenderer, during the tender evaluation phase, at the Contracting authority's request

Annex III – Declaration on the list of pre-existing rights and statements

Annex IV – Template for annex indicating the group members' shares for VAT purpose (if applicable)

If there is any conflict between the provisions of the main conditions, special conditions, general conditions and Annexes I and II of this contract, the following order of precedence shall apply:

a. Main conditions;
b. Special conditions including the appendices;
c. General conditions;
d. Tender specifications (Annex I);
e. Contractor's tender (Annex II).

I.2. Scope of the contract

The subject matter of the contract is indicated in Article 1 of the Main conditions.

The scope of the contract is provision of services by the contractor to the contracting authority in accordance with the terms and requirements set out in Annex I.

By submitting a tender, the contractor waives its own terms and conditions. All documents of this nature issued by the contractor (end-user agreements, general terms and conditions, etc.) are held inapplicable, unless explicitly mentioned in the special conditions of the contract. In all circumstances, in the event of contradiction between this contract and documents issued by the contractor, this contract prevails, regardless of any provision to the contrary in the contractor's

documents.

I.3. Entry into force and duration

I.3.1 The entry into force and the maximum duration of the contract are indicated in Article 3 of the Main conditions.

The period of *performance of the contract* may be extended only with the express written agreement of the parties before the expiration of such period.

I.3.2 The *performance of the contract* cannot start before its entry into force.

I.3.3 The suspension of the *performance of the contract* due to force majeure as provided for in Article II.17 will automatically extend the duration of the contract by the duration of the suspension.

I.3.4 If, after the end of the contract, one party continues to perform its obligations without opposition from the other party, such performance is not and cannot be construed as a renewal of the contract.

I.4. Prices

I.4.1. Amount of the contract and prices

The maximum amount covering all services performed under this contract and excluding price revision, is indicated in Article 2 of the Main conditions.

The prices of the services are listed in Appendix 1 to the Special conditions.

I.4.2. Price revision index

Price revision is not applicable to this contract.

I.4.4. Change of circumstances

Without prejudice to Article 175 of the Financial Regulation, the contract is not subject to modification or termination in case of a change of circumstances rendering performance of the contract excessively more onerous for one of the parties. Each party assumes the risk of such change of circumstances and its financial consequences for themselves.

I.5. Payment arrangements

I.5.1. Bank account conditions

Payments under the contract shall be made to the contractor's (or leader's in the case of joint tender) bank account specified in Article 4 of the Main conditions in accordance with Article II.21, which is complemented by this article and the related provisions of the contract.

The bank account is denominated in [euro] [*insert local currency where the receiving country does not allow transactions in EUR*].

I.5.2. Pre-financing

Pre-financing is not applicable to this contract.

I.5.3. Interim payments

1. The contractor may claim yearly interim payment in accordance with Article II.21.6:

(a) The contractor must send an invoice for the first interim payment equal to 40% of the maximum amount covering all services referred to in Article I.4.1 via the electronic exchange system, as provided for in the tender specifications, accompanied by the following:

- a list of all *pre-existing rights* to the *results* or parts of the *results* or a declaration stating that there are no such *pre-existing rights*, as provided for in Article II.13.4;
- *Second progress report*, as set out in the Tender Specifications;
- Annex IV indicating the group members' shares for VAT purpose (if applicable).

b) The contractor must send an invoice for the second interim payment equal to 30% of the maximum amount covering all services referred to in Article I.4.1 via the electronic exchange system, as provided for in the tender specifications, accompanied by the following:

- a list of all *pre-existing rights* to the *results* or parts of the *results* or a declaration stating that there are no such *pre-existing rights*, as provided for in Article II.13.4;
- *Fourth progress report*, as set out in the Tender Specifications;
- Annex IV indicating the group members' shares for VAT purpose (if applicable).

2. The contracting authority must approve the submitted documents or deliverables and pay within 60 days from receipt of the invoice.

3. The contracting authority may suspend the time limit for payment specified in point (2.) in accordance with Article II.21.7. Once the suspension is lifted, the contracting authority shall give its approval and pay within the remainder of the time limit indicated in point (2.) unless it rejects partially or fully the submitted documents or deliverables.

I.5.4. Payment of the balance

1. The contractor may claim the payment of the balance in accordance with Article II.21.6.

The contractor must send an invoice for payment of the balance due under the contract via the electronic exchange system, as provided for in the tender specifications and accompanied by the following:

- a list of all *pre-existing rights* to the *results* or parts of the *results* or a declaration stating that there are no such *pre-existing rights*, as provided for in Article II.13.4
- Final report, as set out in the Tender Specifications;
- Annex IV indicating the group members' shares for VAT purpose (if applicable)

2. The contracting authority must approve the submitted documents or deliverables and pay within 60 days from receipt of the invoice.

3. The contracting authority may suspend the time limit for payment specified in point (2.) in accordance with Article II.21.7. Once the suspension is lifted, the contracting authority shall give its approval and pay within the remainder of the time limit indicated in point (2.) unless it rejects partially or fully the submitted documents or deliverables.

I.5.5. Performance guarantee

Performance guarantee is not applicable to this contract.

I.5.6. Retention money guarantee

Retention money guarantee is not applicable to this contract.

I.5.7. VAT and invoices

1. The contractor must send the invoice(s) for the interim payment(s) and the payment of the balance via the electronic exchange system or, if the use of electronic exchange system has not been activated under Article I.6.1, via email at the email address indicated in Article I.6.2.

2. If the transaction is taxable for VAT purposes as a local purchase in Belgium, use of this contract constitutes a request for VAT exemption No 450, Article 42, paragraph 3.3 of the VAT code (circular 2/1978), provided the invoice includes the statement: ‘Exonération de la TVA, Article 42, paragraphe 3.3 du code de la TVA (circulaire 2/1978)’.

3. If the transaction is taxable for VAT purposes as a local purchase in Luxembourg, the contractor must include the following statement in the invoices: "Commande destinée à l’usage officiel de l’Union européenne. Exonération de la TVA Article 43 § 1 k 2ème tiret de la loi modifiée du 12.02.79.

4. If the transaction is taxable for VAT purposes as a local purchase in a Member State of the European Union (other than Belgium or Luxembourg) where the fiscal legislation allows direct VAT exemption, the invoice must include a statement referencing the relevant national legislation.

5. If the transaction is taxable for VAT purposes as an intra-community purchase, the invoice must include the following sentence: “VAT exemption / European Union / Article 151 of Council Directive 2006/112/EC”.

6. If the transaction is taxable for VAT purposes as an intra-community purchase in a Member State of the European Union, in which the fiscal legislation does not allow direct VAT exemption, at the request of the contracting authority, the contractor shall make available to it all the supporting documents which the contracting authority might need in order to apply to the tax authorities for the reimbursement of any duties and taxes paid in the course of the performance of the contract.

I.6. Communication details

I.6.1. Communication via electronic exchange system

At the time of entry into force of this contract, certain communications will be made by electronic means through the EU Funding & Tenders Portal (the Portal), in accordance with the Portal Terms and Conditions and using the forms and templates provided there (except if explicitly instructed

otherwise by the contracting authority or if communication via the Portal is hindered by factors beyond the control of the parties). The Portal can be accessed via the following URL: https://ec.europa.eu/info/funding-tenders/opportunities/portal/. The following communications must be made via the Portal: submission of deliverables and invoices, amendments.

Communications by contractors through the Portal must be made by persons authorised according to the Portal Terms and Conditions. For naming the authorised persons to use the Portal, each contractor must have designated — before the signature of this contract — a 'legal entity appointed representative (LEAR)'. The role and tasks of the LEAR are stipulated in their appointment letter (see Portal Terms and Conditions).

If the communication via the Portal is hindered, instructions will be provided by the contracting authority by email and may also be published on the Portal.

During the course of the contract, the contracting authority reserves the right to extend the coverage of the communications made through the Portal or to activate the use of other electronic exchange systems, at no additional cost for the contracting authority.

In case of discrepancy between the clauses of the Portal Terms and Conditions or Terms and Conditions of other electronic exchange system and the clauses of this contract, the clauses of this contract (including its annexes) shall prevail.

I.6.2. Mail or email communication

For the purpose of this contract, mail or email communications must be sent to the following addresses:

Contracting authority:

Technical matters:
European Commission
Directorate-General Communications Networks, Content and Technology
Directorate A – Artificial Intelligence Office
Unit A4 - Artificial Intelligence Innovation and Policy Coordination
Email: CNECT-A4@ec.europa.eu

Administrative and financial matters:
European Commission
Directorate-General Communications Networks, Content and Technology
Directorate R - Resources and Support
Unit R4 - Compliance and Planning
Office: SCP, L-51 002/DCS.CNECT
1049 Brussels
E-mail: CNECT-PROCUREMENT@ec.europa.eu

Contractor (or leader in the case of a joint tender):
[*Full name*]
[*Function*]
[*Company name*]
[*Full official address*]
Email: [*complete*]

I.7. Processing of personal data

I.7.1. Processing of personal data by the contracting authority

For the purpose of Article II.9.1,

(a) for personal data processed in the context of the management of the contract, the data controller is the European Commission and can be contacted at CNECT-PROCUREMENT@ec.europa.eu;

(b) the data protection notice is available at https://ec.europa.eu/info/data-protection-public-procurement-procedures_en.

I.7.2. Processing of personal data by the contractor

For the purpose of Article II.9.2,

(a) the subject matter and purpose of the processing of personal data by the contractor are related to the functioning of the AI Observatory web platform (such as IP addresses);

(b) The localisation of and access to the personal data processed by the contractor shall comply with the following:

i. the personal data shall only be processed within the territory of the European Union and the European Economic Area and will not leave that territory;
ii. the data shall only be held in data centres located with the territory of the European Union and the European Economic Area;
iii. no access shall be given to such data outside of the European Union and the European Economic Area;
iv. the contractor may not change the location of data processing without the prior written authorisation of the contracting authority;
v. any transfer of personal data under the contract to third countries or international organisations shall fully comply with the requirements laid down in Chapter V of Regulation (EU)2018/1725[1].

I.8. Exploitation of the results of the contract

I.8.1. Detailed list of modes of exploitation of the results

In accordance with Article II.13.1 whereby the Union acquires ownership of the *results* as defined in this contract, including the tender specifications, these *results* may be used for any of the following modes of exploitation:

(a) use for its own purposes:

- making available to the staff of the contracting authority;
- making available to the persons and entities working for the contracting authority or

[1] Regulation (EU) 2018/1725 of 23 October 2018 on the protection of natural persons with regard to the processing of personal data by the Union institutions, bodies, offices and agencies and on the free movement of such data, and repealing Regulation (EC) No 45/2001 and Decision No 1247/2002/EC, OJ L 295/39, 21.11.2018, https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:32018R1725&from=EN

cooperating with it, including contractors, subcontractors whether legal or natural persons;

- making it available to the other Union institutions, agencies and bodies, Member States' institutions;
- installing, uploading, processing;
- arranging, compiling, combining, retrieving;
- copying, reproducing in whole or in part and in unlimited number of copies.

(b) modifications by the contracting authority or by a third party in the name of the contracting authority, including:

- shortening;
- summarising;
- modifying the content, the dimensions;
- making technical changes to the content (necessary correction of technical errors), adding new parts or functionalities, changing functionalities, providing third parties with additional information concerning the *result* (e.g. source code) with a view to making modifications;
- addition of new elements, paragraphs, titles, leads, bolds, legend, table of content, summary, graphics, subtitles, sound;
- addition of metadata, for text and data-mining purposes; addition of right-management information; addition of technological protection measures;
- preparation in audio form, preparation as a presentation, animation, pictograms story, slide-show, public presentation;
- extracting a part or dividing into parts;
- incorporating, including by cropping and cutting, the results or parts thereof in other works, such as on websites and webpages;
- translating, inserting subtitles, dubbing in different language versions:
  - English, French, German;

(c) rights to authorise or license the modes of exploitation set out in any of the points (a) to (e) to third parties, provided however that this does not apply to *pre-existing rights* and *pre-existing materials*, if they are only licensed to the Union, except as foreseen by Article II.13.2.;

(d) other adaptations which the parties may later agree; in such case, the following rules apply: the contracting authority must consult the contractor. If necessary, the contractor must in turn seek the agreement of any *creator* or other right holder and must reply to the contracting authority within one month by providing its agreement, including any suggestions of modifications, free of charge. The contractor may refuse the intended modification only if a *creator* can demonstrate that the intended modification may harm his/her honour or reputation, thereby violating his/her moral rights.

The list above is in addition to whatever rights already accrue to the Union on the basis of existing exceptions in the applicable legislation, such as the copyright exception to ensure the proper performance or reporting of administrative proceedings, in cases where such exceptions apply.

I.8.2. Licence or transfer of pre-existing rights

All *pre-existing rights* incorporated in the *results*, if any, are licensed to the Union as set out in Article II.13.2.

I.8.3. Provision of list of pre-existing rights and documentary evidence

The contractor must provide the contracting authority with a list of *pre-existing rights* as set out in Article II.13.4 together with the invoice for payment of the balance at the latest.

I.9. Applicable law and settlement of disputes

I.9.1 The contract is governed by Union law, complemented, where necessary, by the law of Belgium. The application of the United Nations Convention on Contracts for the International Sales of Goods (CISG) is excluded.

I.9.2 The courts of Brussels, Belgium shall have exclusive jurisdiction over any dispute regarding the validity, interpretation, performance or termination of the *contract*.

I.10. Security

I.10.1 When performing tasks for the contracting authority in execution of the contract, the contractor and its personnel shall comply with the contracting authority's applicable security requirements described in the Appendix 1 "Security Requirements for Commission's Contractors (including Ethics Reminder for Service Providers employed by a contractor of the Commission)".

I.10.2 In addition, when providing remote service delivery the contractor and its personnel shall comply with the contracting authority's security baseline described in the Appendix 2 "Security Baseline for External Connections- Rules for Contractors and service providers (incl. Acceptable Use Policy)".

II. GENERAL CONDITIONS FOR THE SERVICE CONTRACT

II.1. Definitions

For the purpose of this contract, the following definitions (indicated in *italics* in the text) apply:

'Back office': the internal system(s) used by the parties to process electronic invoices;

'Breach of obligations': failure by a party to fulfil one or more of its contractual obligations;

'Confidential information or document': any information or document received by either party from the other or accessed by either party in the context of the *performance of the contract*. It may not include information that is publicly available;

'Conflict of interest': a situation where the impartial and objective *performance of the contract* by the contractor is compromised or negatively affected for reasons involving family, emotional life, political or national affinity, economic interest, any other direct or indirect personal interest of the contractor, its *related persons* or *personnel* or any third party related to the subject matter of the contract;

'Creator': means any natural person who contributes to the production of the *result*;

'EDI message' (electronic data interchange): a message created and exchanged through the electronic transfer, from computer to computer, of commercial and administrative data using an agreed standard;

'Electronic exchange system': is an electronic exchange system meeting the requirements of Article 151 of the Financial Regulation[2];

'EUI': European Union institution;

'Force majeure': any unforeseeable and unavoidable situation or event beyond the control of the parties that prevents either of them from fulfilling any of their obligations under the contract. The situation or event must not be attributable to the negligence of the debtor. Breaches or negligence of subcontractors, defaults of service, defects in equipment or material or delays in making them available, labour disputes, strikes and financial difficulties may not be invoked as *force majeure*, unless they stem directly from a relevant case of *force majeure*;

'Formal notification' (or 'formally notify'): form of communication between the parties made in writing by mail or email, which provides the sender with compelling evidence that the message was delivered to the specified recipient;

'Fraud': an act or omission committed in order to make an unlawful gain for the perpetrator or another by causing a loss to the Union's financial interests, and relating to: i) the use or presentation of false, incorrect or incomplete statements or documents, which has as its effect the misappropriation or wrongful retention of funds or assets from the Union budget, ii) the non-disclosure of information in violation of a specific obligation, with the same effect or iii) the misapplication of such funds or assets for purposes other than those for which they were originally granted, which damages the Union's financial interests;

[2] Regulation (EU, Euratom) 2024/2509 of the European Parliament and of the Council of 23 September 2024 on the financial rules applicable to the general budget of the Union (recast) (OJ L, 2024/2509, 26.09.2024, ELI: http://data.europa.eu/eli/reg/2024/2509/oj)

'Grave professional misconduct': a violation of applicable laws or regulations or ethical standards of the profession to which a contractor or a *related person* belongs, including any conduct leading to sexual or other exploitation or abuse, or any wrongful conduct of the contractor or a *related person* which has an impact on its professional credibility where such conduct denotes wrongful intent or gross negligence;

'Interoperability network': independent third party platforms enforcing the European standards and Directives on cross-border interoperability in a certain domain;

'Irregularity': any infringement of a provision of Union law resulting from an act or omission by an economic operator, which has, or would have, the effect of prejudicing the Union's budget or a budget managed by the Union;

'Notification' (or 'notify'): form of communication between the parties made in writing including by electronic means;

'Performance of the contract': the execution of tasks and provision of the ordered services by the contractor to the contracting authority;

'Personnel': persons employed directly or indirectly or contracted by the contractor or its subcontractors to perform the contract;

'Portal': EU Funding & Tenders Portal; electronic exchange system managed by the European Commission and used by itself and other EU institutions, bodies, offices or agencies for the management of their funding, prizes and procurement;

'Pre-existing material': any material, document, technology or know-how which exists prior to the contractor using it for the production of a *result* in the *performance of the contract*;

'Pre-existing right': any industrial and intellectual property right on *pre-existing material*; it may consist in a right of ownership, a licence right and/or a right of use belonging to the contractor, the *creator*, the contracting authority as well as to any other third parties;

'Professional conflicting interest': a situation in which the contractor's previous or ongoing professional activities affect or risk affecting its capacity to perform the *contract* in an independent, impartial and objective manner;

'Purchases': the services ordered under this contract;'**Related person**': any natural or legal person who is a member of the administrative, management or supervisory body of the contractor, or who has powers of representation, decision or control with regard to the contractor;

'Result': any intended outcome of the *performance of the contract*, whatever its form or nature. A *result* may be further defined in this contract as a deliverable. A *result* may, in addition to newly created materials produced specifically for the contracting authority by the contractor or at its request, also include *pre-existing materials*;

II.2. Roles and responsibilities in the event of a joint tender

In the event of a joint tender submitted by a group of economic operators and where the group does not have legal personality or legal capacity, one member of the group is appointed as leader of the group.

II.3. Severability

Each provision of this contract is severable and distinct from the others, unless it is essential to the agreement of the parties,if a provision is or becomes illegal, invalid or unenforceable to any extent, it must be severed from the remainder of the contract. This does not affect the legality, validity or enforceability of any other provisions of the contract, which continue in full force and effect. The illegal, invalid or unenforceable provision must be replaced by a legal, valid and enforceable substitute provision which corresponds as closely as possible with the actual intent of the parties under the illegal, invalid or unenforceable provision. The replacement of such a provision must be made in accordance with Article II.11. The contract must be interpreted as if it had contained the substitute provision as from its entry into force.

II.4. Provision of services

II.4.1 The contractor must provide services of high quality standards, in accordance with the state of the art in the industry and the provisions of this contract, in particular the tender specifications and the terms of its tender. Timely delivery of the services is essential for the contracting authority. Where the Union has the right to make modifications to the *results*, they must be delivered in a format and with the necessary information which effectively allow such modifications to be made in a convenient manner.

II.4.2 The contractor must comply with the minimum requirements provided for in the tender specifications. This includes compliance with applicable obligations under environmental, social and labour law established by Union law, national law and collective agreements or by the international environmental, social and labour law provisions listed in Annex X to Directive 2014/24/EU[3], compliance with data protection obligations resulting from Regulation (EU) 2016/679[4] and Regulation (EU) 2018/1725[5].

II.4.3 The contractor must obtain any permit or licence required in the State where the services are to be provided.

II.4.4 All periods specified in the contract are calculated in calendar days, unless otherwise specified.

II.4.5 The contractor must not present itself as a representative of the contracting authority and must inform third parties that it is not part of the European public service.

II.4.6 The contractor is responsible for the *personnel* who carry out the services and exercises its authority over its *personnel* without interference by the contracting authority. The contractor must inform its *personnel* that:

(a) they may not accept any direct instructions from the contracting authority; and
(b) their participation in providing the services does not result in any employment or contractual relationship with the contracting authority.

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[3] OJ L 94 of 28.03.2014, p. 65

[4] Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC, OJ L 119, 4.5.2016, p. 1, https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=uriserv:OJ.L_.2016.119.01.0001.01.ENG

[5] Regulation (EU) 2018/1725 of 23 October 2018 on the protection of natural persons with regard to the processing of personal data by the Union institutions, bodies, offices and agencies and on the free movement of such data, and repealing Regulation (EC) No 45/2001 and Decision No 1247/2002/EC, OJ L 295/39, 21.11.2018, https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:32018R1725&from.EN

II.4.7 The contractor must ensure that the *personnel* performing the contract and any future replacement *personnel* possess the professional qualifications and experience required to provide the services, as the case may be on the basis of the selection criteria set out in the tender specifications.

II.4.8 At the contracting authority's reasoned request, the contractor must replace any member of *personnel* who:

(a) does not have the expertise required to provide the services; or
(b) has caused disruption at the premises of the contracting authority.

The contractor bears the cost of replacing its *personnel* and is responsible for any delay in providing the services resulting from the replacement of *personnel*. Before deciding to replace a member of *personnel*, the contractor should first give him the opportunity to present observations.

II.4.9 The contractor must record and report to the contracting authority any problem that affects its ability to provide the services. The report must describe the problem, state when it started and what action the contractor is taking to resolve it.

II.4.10 The contractor must immediately inform the contracting authority of any changes in the exclusion situations as declared, according to Article 139(1) of the *Financial Regulation*.

II.4.11 If the contractor fails to provide the services in accordance with high quality standards, the state of the art in the industry and the provisions of the *contract* (in particular the tender specifications and the terms of its tender), the contracting authority may, even if such failure constitutes a breach that could trigger Article II.18.1, decide to have these obligations performed by a third party, at the contractor's expense. The contracting authority shall *formally notify* the contractor of its decision to have the contractor substituted and the grounds for this substitution.

Any such substitution does not affect the contractor's liability and is without prejudice to the contracting authority's other rights and remedies, including but not limited to its right to claim damages under Article II.18 that the substitution would not cover.

II.5. Communication between the parties

II.5.1. Form and means of communication

Any *notifications*, communication of information or exchange of documents under the contract must be made in writing, in the language of the contract and must clearly identify the contract number, if applicable.

Communication between the parties can take place:

- by electronic means, via electronic exchange system, in accordance with the provisions of Article II.5.2.;
- by electronic means, via email, in accordance with the provisions of Article II.5.3.;
- on paper, via mail - by courier service with proof of delivery or by registered post with proof of delivery, in accordance with the provisions of Article II.5.4.

The specific rules when *formal notifications* are considered to have been received are provided in

Sections II.5.2.2, II.5.3.2 and II.5.4.2 below.

Communication details to be used for all communication between the parties are indicated in Article I.6.

II.5.2. Communication via electronic exchange system (EES)

The contracting authority may use an EES for all exchanges with the contractor during the *implementation of the* contract.

If communication via the EES is hindered by factors beyond the control of one party, including technical problems, the party who first discovers the hinderance must *notify* the other party immediately and the parties must take the necessary measures to restore this communication via the EES. Upon such *notification*, the parties shall use alternative means of communication until communication via electronic exchange system is restored. The provisions applicable to alternative means of communication are described in Articles II.5.3 and II.5.4 below.

If the EES is temporarily unavailable, the sending party cannot be considered in *breach of its obligation* to send a communication within a specified deadline. In any event, for reasons linked to business continuity, the contracting authority reserves the right to use alternative means of communication at any moment.

II.5.2.1 Date of communication via electronic exchange system for other than formal notifications

Notifications through the EES are generally considered to have been made when they are sent by the sending party (i.e. on the date and time they are sent through the EES) as indicated by the time logs.

II.5.2.2 Date of communication via electronic exchange system for formal notifications

The receiving date for *formal notifications* made through the EES will be the date and time the communication is accessed, as indicated by the time logs. *Formal notifications* that have not been accessed within 10 days after sending, will be considered to have been accessed.

II.5.3. Communication via email

When communicating via e-mail, the parties shall send their messages to the email addresses indicated in Article I.6.

II.5.3.1 Date of communications via email for other than formal notifications

Without prejudice to Article II.19.1. below and Point 31.3 of Annex I to the FR, *notifications* via email are considered to have been made and the email is deemed to have been received by the receiving party on the date of dispatch of that e-mail, if it is sent to the email address indicated in Article I.6 and does not have characteristics that could reasonably prevent its proper delivery (such as sending extremely voluminous e-mails that can be blocked for their size or emails containing elements that the majority of the spam filers would block). The sending party must be able to prove the date of dispatch. If the sending party sends the email to the email address indicated in Article I.6 and receives a non-delivery report, it must make every reasonable effort to ensure that the other party receives the communication.

II.5.3.2 Date of communications via email for formal notifications

Formal notifications by email are considered to have been received on the date of dispatch of a

return email expressly or impliedly acknowledging receipt. In case no such email is received by the party who sent the *formal notification* within 10 days, the *formal notification* should be re-sent via courier service with proof of delivery or registered post (see Article II.5.4.2 below).

II.5.4. Communication via mail

As a rule, mail is used by way of exception for *formal notifications* and as alternative means of communication when the other means are not available.

When communicating via mail, the parties should send their letters to the postal addresses indicated in Article I.6.

II.5.4.1 Date of communications via mail for other than formal notifications

Without prejudice to Article 116 of the *Financial Regulation*, *notifications* via mail are considered to have been made at the date of receipt by the receiving party.

A receiving party cannot make use of its own refusal to be informed of the communication in order to render it ineffective.

Invoices sent to the contracting authority via mail are deemed to be received on the date when they are registered by the authorised department of the authorizing officer responsible.

II.5.4.2 Date of communications via mail for formal notifications

Formal notifications by courier service with proof of delivery are considered to have been received on the date indicated in the proof of delivery. *Formal notifications* by registered post with proof of delivery are considered to have been received either on the delivery date registered by the postal service or the deadline for collection at the post office.

II.6. Liability

II.6.1 The contractor shall perform the contract at its own risk. The contractor warrants and holds the contracting authority harmless against any action or claim brought by a third party for any damage or loss suffered in relation to the *performance of the contract* (including the related costs such as lawyer fees).

II.6.2 If required by the relevant applicable legislation, the contractor must take out an insurance policy against risks and damage or loss relating to the *performance of the contract*. It must also take out supplementary insurance as reasonably required by standard practice in the industry. Upon request, the contractor must provide evidence of insurance coverage to the contracting authority.

II.6.3 Except in case of *force majeure*, the contractor is liable for any loss or damage caused to the contracting authority during or as a consequence of *performance of the contract*, resulting from a breach attributable to the contractor, including in the event of subcontracting, but only up to an amount not exceeding three times the total amount of the *contract*. However, if the damage or loss is caused by the gross negligence or wilful misconduct of the contractor, a *related person*, its *personnel* or its subcontractors, or if an injury has been caused to the life or the physical integrity of a person, as well as in the case of an action brought against the contracting authority by a third party for breach of its intellectual property rights, the contractor is liable for the whole amount of the damage or loss.

II.6.4 If a third party brings any action against the contracting authority in connection with the

performance of the contract, including any action for alleged breach of intellectual property rights, the contractor must assist the contracting authority in the legal proceedings, including by intervening in support of the contracting authority upon request.
If the contracting authority's liability towards the third party is established and that such liability is caused by the contractor during or as a consequence of the *performance of the contract*, Article II.6.1 applies. In that case, the limitations of liability foreseen in Article II.6.3 do not apply.

II.6.5 If the contractor is composed of two or more economic operators (i.e. who submitted a joint tender), they are all jointly and severally liable to the contracting authority for the *performance of the contract*.

II.6.6 The contracting authority is not liable for any loss or damage caused to the contractor during or as a consequence of *performance of the contract*, unless the loss or damage was caused by wilful misconduct or gross negligence of the contracting authority.

II.7. Conflict of interest and professional conflicting interests

II.7.1 The contractor must take all the necessary measures to prevent any situation of *conflict of interest or professional conflicting interest*.

II.7.2 The contractor must *notify* the contracting authority in writing as soon as possible of any situation that could constitute a *conflict of interest* or a *professional conflicting interest* during the *performance of the contract*. The contractor must immediately take action to rectify the situation.

The contracting authority may do any of the following:

(a) verify that the contractor's action is appropriate;
(b) require the contractor to take further action within a specified deadline to rectify the situation;

II.7.3 The contractor must pass on all the relevant obligations in writing to:

(a) its *personnel*;
(b) any *related person*;
(c) third parties involved in the *performance of the contract*, including subcontractors.

The contractor must also ensure that the persons referred to above are not placed in a situation which could give rise to conflicts of interest.

II.8. Confidentiality

II.8.1 The contracting authority and the contractor must treat with confidentiality any information or documents, in any format, disclosed in writing or orally, relating to the *performance of the contract*.

II.8.2 Each party must:

(a) not use *confidential information or documents* for any purpose other than to perform its obligations under the *contract* without the prior written agreement of the other party;

(b) ensure the protection of such *confidential information or documents* with the same level

of protection as its own *confidential information or documents* and in any case with due diligence;

(c) not disclose, directly or indirectly, *confidential information or documents* to third parties without the prior written agreement of the other party.

II.8.3 The confidentiality obligations set out in this Article are binding on the contracting authority and the contractor during the *performance of the contract* and for as long as the information or documents remain confidential unless:

(a) the disclosing party agrees to release the receiving party from the confidentiality obligation earlier;

(b) the *confidential information or documents* become public through other means than a *breach* of the confidentiality obligation;

(c) the applicable law requires the disclosure of the *confidential information or documents*.

II.8.4 The contractor must obtain from any *related person* and its *personnel*, as well as from third parties involved in the *performance of the contract*, a written commitment that they will comply with this Article. At the request of the contracting authority, the contractor must provide a document providing evidence of this commitment.

II.8.5 The contracting authority is entitled to make available (any part of) the *confidential information or documents* to its staff and the staff of other Union institutions, agencies and bodies, as well to other persons and entities working for the contracting authority or cooperating with it. This includes other contractors or subcontractors and their *personnel*, who need to know the same for the performance of a contract who know they must treat it confidentially and who are bound by confidentiality obligations that are no less restrictive than the contracting authority's confidentiality obligations set out in this section.

II.8.6 The receiving party will, on request from the other party, return all copies and records of the *confidential information or documents* of the other party and will not retain any copies or records of the *confidential information or documents* of the other party.

II.8.7 The contractor must not grant access to any equipment provided by or delivered to the contracting authority during the implementation of the contract to any third parties, unless priorly authorised by the contracting authority in writing.

II.9. Processing of personal data

II.9.1. Processing of personal data by the contracting authority

Any personal data included in or relating to the contract, including its *implementation*, shall be processed in accordance with Regulation (EU) 2018/1725[6]. Such data shall be processed solely for the purposes of the *implementation*, management and monitoring of the contract by the data controller.

[6] Regulation (EU) 2018/1725 of the European Parliament and of the Council of 23 October 2018 on the protection of natural persons with regard to the processing of personal data by the Union institutions, bodies, offices and agencies and on the free movement of such data, and repealing Regulation (EC) No 45/2001 and Decision No 1247/2002/EC, https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:32018R1725&from=EN

The contractor or any other person whose personal data is processed by the data controller in relation to this contract has specific rights as a data subject under Chapter III (Articles 14-25) of Regulation (EU) 2018/1725, in particular the right to access, rectify or erase their personal data and the right to restrict or, where applicable, the right to object to processing or the right to data portability.

Should the contractor or any other person whose personal data is processed in relation to this contract have any queries concerning the processing of its personal data, it shall address itself to the data controller. They may also address themselves to the Data Protection Officer of the data controller. They have the right to lodge a complaint at any time to the European Data Protection Supervisor.

Details concerning the processing of personal data are available in the data protection notice referred to in Article I.7.

II.9.2. Processing of personal data by the contractor

The processing of personal data by the contractor shall meet the requirements of Regulation (EU) 2018/1725 and be processed solely for the purposes set out by the controller.

The contractor shall assist the controller for the fulfilment of the controller's obligation to respond to requests for exercising rights of person whose personal data is processed in relation to this contract as laid down in Chapter III (Articles 14-25) of Regulation (EU) 2018/1725. The contractor shall inform without delay the controller about such requests.

The contractor may act only on documented written instructions and under the supervision of the controller, in particular with regard to the purposes of the processing, the categories of data that may be processed, the recipients of the data and the means by which the data subject may exercise its rights.

The contractor shall grant *personnel* access to the data to the extent strictly necessary for the *implementation*, management and monitoring of the contract. The contractor must ensure that *personnel* authorised to process personal data has committed itself to confidentiality or is under appropriate statutory obligation of confidentiality in accordance with the provisions of Article II.8.

The contractor shall adopt appropriate technical and organisational security measures, giving due regard to the risks inherent in the processing and to the nature, scope, context and purposes of processing, in order to ensure, in particular, as appropriate:

(a) the pseudonymisation and encryption of personal data;
(b) the ability to ensure the ongoing confidentiality, integrity, availability and resilience of processing systems and services;
(c) the ability to restore the availability and access to personal data in a timely manner in the event of a physical or technical incident;
(d) a process for regularly testing, assessing and evaluating the effectiveness of technical and organisational measures for ensuring the security of the processing;
(e) measures to protect personal data from accidental or unlawful destruction, loss, alteration, unauthorised disclosure of or access to personal data transmitted, stored or otherwise processed.

The contractor shall *notify* relevant personal data breaches to the controller without undue delay and at the latest within 48 hours after the contractor becomes aware of the breach. In such cases, the contractor shall provide the controller with at least the following information:

(a) nature of the personal data breach including where possible, the categories and approximate number of data subjects concerned and the categories and approximate number of personal data records concerned;
(b) likely consequences of the breach;
(c) measures taken or proposed to be taken to address the breach, including, where appropriate, measures to mitigate its possible adverse effects.

The contractor shall immediately inform the data controller if, in its opinion, an instruction infringes Regulation (EU) 2018/1725, Regulation (EU) 2016/679, or other Union or Member State data protection provisions as referred to in the tender specifications.

The contractor shall assist the controller for the fulfilment of its obligations pursuant to Article 33 to 41 under Regulation (EU) 2018/1725 to:

(a) ensure compliance with its data protection obligations regarding the security of the processing, and the confidentiality of electronic communications and directories of users;
(b) *notify* a personal data breach to the European Data Protection Supervisor;
(c) communicate a personal data breach without undue delay to the data subject, where applicable;
(d) carry out data protection impact assessments and prior consultations as necessary.

The contractor shall maintain a record of all data processing operations carried on behalf of the controller, transfers of personal data, security breaches, responses to requests for exercising rights of people whose personal data is processed and requests for access to personal data by third parties.

The contracting authority is subject to Protocol 7 of the Treaty on the Functioning of the European Union on the privileges and immunities of the European Union, particularly as regards the inviolability of archives (including the physical location of data and services as set out in Article I.7.2) and data security, which includes personal data held on behalf of the contracting authority in the premises of the contractor or subcontractor.

The contractor shall *notify* the contracting authority without delay of any legally binding request for disclosure of the personal data processed on behalf of the contracting authority made by any national public authority, including an authority from a third country. The contractor may not give such access without the prior written authorisation of the contracting authority.

The duration of processing of personal data by the contractor will not exceed the period referred to in Article II.24.2. Upon expiry of this period, the contractor shall, at the choice of the controller, return, without any undue delay in a commonly agreed format, all personal data processed on behalf of the controller and the copies thereof or shall effectively delete all personal data unless Union or national law requires a longer storage of personal data.

For the purpose of Article II.10, if part or all of the processing of personal data is subcontracted to a third party, the contractor shall pass on the obligations referred to in Articles I.7.2 and II.9.2 in writing to those parties, including subcontractors. At the request of the contracting authority, the contractor shall provide a document providing evidence of this commitment.

II.10. Subcontracting

II.10.1 The contractor must not subcontract and have the contract performed by third parties beyond the third parties already mentioned in its tender without prior written authorisation from the contracting authority.

II.10.2 Even if the contracting authority authorises subcontracting, the contractor remains bound by its contractual obligations and remains entirely responsible for the *performance of this contract* vis-à-vis the contracting authority.

II.10.3 The contractor must ensure that the subcontract does not affect the rights of the contracting authority under this contract, particularly those under Articles II.8, II.13 and II.24.

II.10.4 The contracting authority may request the contractor to replace a subcontractor found to be in a situation provided for in points (d) and (e) of Article II.18.1. The contractor bears the costs of such replacement.

II.11. Amendments

II.11.1 Any amendment to the *contract* must be made in writing before all contractual obligations have been fulfilled. Any acceptance or payment by the contracting authority of an invoice referring to the general terms and conditions of the contractor does not constitute a valid amendment to *contract* and does not make these general terms and conditions applicable to the *contract*.

II.11.2 Any amendment must not make changes to the *contract* that might alter the initial conditions of the procurement procedure or result in unequal treatment of tenderers.

II.12. Assignment of the contract to a third-party

II.12.1 The contractor must not assign any of the rights and obligations arising from the *contract*.

II.12.2 By way of exception to the preceding clause, in duly justified exceptional circumstances, rights and / or obligations arising from the *contract* may be assigned with the prior written authorisation of the contracting authority. This authorisation shall be granted or not at the discretion of the contracting authority and upon request by the contractor. The contractor's request shall detail the exceptional circumstances on which it is based and provide the identity of the intended assignee. The contracting authority may request additional information.

II.12.3 Any right or obligation assigned by the contractor without the authorisation mentioned in the preceding clause is not enforceable against the contracting authority. Accordingly, the assignor will remain jointly and severally bound with the assignee vis-à-vis the contracting authority.

II.13. Intellectual property rights

II.13.1. Ownership of the rights in the results

The Union acquires irrevocably worldwide ownership of the *results* and of all intellectual property rights on the newly created materials produced specifically for the Union under the contract and incorporated in the *results*, without prejudice however to the rules applying to *pre-existing rights* on *pre-existing materials*, as per Article II.13.2.

The intellectual property rights so acquired include any rights, such as copyright and other intellectual or industrial property rights, to any of the *results* and in all technological solutions and information created or produced by the contractor or by its subcontractor in in *performance of the*

contract. The contracting authority may exploit and use the acquired rights as stipulated in this contract. The Union acquires all the rights as from the moment the contractor has created the *results*.

The payment of the price includes any fees payable to the contractor about the acquisition of ownership of rights by the Union including for all modes of exploitation and of use of the *results*.

II.13.2. Licensing rights on pre-existing materials

Unless provided otherwise in the special conditions, the Union does not acquire ownership of *pre-existing rights* under this contract.

The contractor licenses the *pre-existing rights* on a royalty-free, non-exclusive and irrevocable basis to the Union, which may use the *pre-existing materials* for all the modes of exploitation set out in this contract. Unless otherwise agreed, the licence is non-transferable and cannot be sub-licensed, except as provided hereafter:

(a) the *pre-existing rights* can be sub-licensed by the contracting authority to persons and entities working for it or cooperating with it, including contractors and subcontractors, whether legal or natural persons, but only for the purpose of their mission for the Union;

(b) if the *result* is a "document" such as a report or a study, and it is meant to be published, the existence of *pre-existing materials* in the *result* may not prevent the publication of the document, its translation or its "reuse", it being understood however that the "reuse" may only be made of the *result* as a whole and not of the *pre-existing materials* taken separately from the *result*; for the sake of this provision, "reuse" and "document" have the meaning given by the Commission Decision of 12 December 2011 on the reuse of Commission documents (2011/833/EU).

All *pre-existing rights* are licensed to the Union from the moment the *results* are delivered and approved by the contracting authority.

The licensing of *pre-existing rights* to the Union under this contract covers all territories worldwide and is valid for the duration of intellectual property rights protection.

The payment of the price as set out in this contract is deemed to also include any fees payable to the contractor in relation to the licensing of *pre-existing rights* to the Union, including for all forms of exploitation and of use of the *results*.

Where *implementation of the contract* requires that the contractor uses *pre-existing materials* belonging to the contracting authority, the contracting authority may request that the contractor signs an adequate licence agreement. Such use by the contractor will not entail any transfer of rights to the contractor and is limited to the needs of this contract.

II.13.3. Exclusive rights

The Union acquires the following exclusive rights:

(a) reproduction: the right to authorise or prohibit direct or indirect, temporary or permanent reproduction of the *results* by any means (mechanical, digital or other) and in any form, in whole or in part;
(b) communication to the public: the exclusive right to authorise or prohibit any display, performance or communication to the public, by wire or wireless means, including the making available to the public of the *results* in such a way that members of the public may access them from a place and at a time individually chosen by them; this also includes the

communication on Internet and broadcasting by cable or by satellite;

(c) distribution: the exclusive right to authorise or prohibit any form of distribution of *results* or copies of the *results* to the public, by sale or otherwise;

(d) rental: the exclusive right to authorise or prohibit rental or lending of the *results* or of copies of the *results*;

(e) adaptation: the exclusive right to authorise or prohibit any modification of the *results*;

(f) translation: the exclusive right to authorise or prohibit any translation, adaptation, arrangement, creation of derivative works based on the *results*, and any other alteration of the *results*, subject to the respect of moral rights of authors, where applicable;

(g) where the *results* are or include a database: the exclusive right to authorise or prohibit the extraction of all or a substantial part of the contents of the database to another medium by any means or in any form; and the exclusive right to authorise or prohibit the re-utilization of all or a substantial part of the contents of the database by the distribution of copies, by renting, by on-line or other forms of transmission;

(h) where the *results* are or include a patentable subject-matter: the right to register them as a patent and to further exploit such patent to the fullest extent;

(i) where the *results* are or include logos or subject-matter which could be registered as a trademark: the right to register such logo or subject-matter as a trademark and to further exploit and use it;

(j) where the *results* are or include know-how: the right to use such know-how as is necessary to make use of the *results* to the full extent provided for by this contract, and the right to make it available to contractors or subcontractors acting on behalf of the contracting authority, subject to their signing of adequate confidentiality undertakings where necessary;

(k) where the *results* are documents:

1. the right to authorise the reuse of the documents in conformity with the Commission Decision of 12 December 2011 on the reuse of Commission documents (2011/833/EU), to the extent it is applicable and the documents fall within its scope and are not excluded by any of its provisions; for the sake of this provision, "reuse" and "document" have the meaning given to them by this Decision;
2. the right to store and archive the *results* in line with the document management rules applicable to the contracting authority, including digitisation or converting the format for preservation or new use purposes;

(l) where the *results* are or incorporate software, including source code, object code and, where relevant, documentation, preparatory materials and manuals, in addition to the other rights mentioned in this Article:

1. end-user rights, for all uses by the Union or by subcontractors which result from this contract and from the intention of the parties;
2. the rights to receive both the source code and the object code;

(m) the right to license to third parties any of the exclusive rights or of the modes of exploitation set out in this contract; however, for *pre-existing materials* which are only licensed to the Union, the right to sub-license does not apply, except in the two cases foreseen by Article II.13.2.;

(n) to the extent that the contractor may invoke moral rights, the right for the contracting authority, except where otherwise provided in this contract, to publish the *results* with or without mentioning the *creator*(s)' name(s), and the right to decide when and whether the *results* may be disclosed and published.

The contractor warrants that the exclusive rights and the modes of exploitation may be exercised by the Union on all parts of the *results*, be it via a transfer of ownership of the rights, on those parts

which were specifically created by the contractor, or via a licence of the *pre-existing rights*, on those parts consisting of *pre-existing materials*.

Where *pre-existing materials* are inserted in the *results*, the contracting authority may accept reasonable restrictions impacting on the above list, provided that the said materials are easily identifiable and separable from the rest, that they do not correspond to substantial elements of the *results*, and that, should the need arise, satisfactory replacement solutions exist, at no additional costs to the contracting authority. In such case, the contractor will have to clearly inform the contracting authority before making such choice and the contracting authority has the right to refuse it.

II.13.4. Identification of pre-existing rights

When delivering the *results*, the contractor must warrant that, for any use that the contracting authority may envisage within the limits set in this contract, the newly created parts and the *pre-existing material* incorporated in the *results* are free of claims from *creators* or from any third parties and all the necessary *pre-existing rights* have been obtained or licensed.

To that effect, the contractor must establish a list of all *pre-existing rights* to the *results* of this contract or parts thereof, including identification of the rights' owners. If there are no *pre-existing rights* to the *results*, the contractor must provide a declaration to that effect. The contractor must provide this list or declaration to the contracting authority together with the invoice for payment of the balance at the latest.

II.13.5. Evidence of granting of pre-existing rights

Upon request by the contracting authority, the contractor must, in addition to the list mentioned under Article II.13.4., provide evidence that it has the ownership or the right to use all the listed *pre-existing rights*, except for the rights owned or licensed by the Union. The contracting authority may request this evidence even after the end of this contract.

This provision also applies to image rights and sound recordings.

This evidence may refer, for example, to rights to: parts of other documents, images, graphs, sounds, music, tables, data, software, technical inventions, know-how, IT development tools, routines, subroutines or other programs ('background technology'), concepts, designs, installations or pieces of art, data, source or background materials or any other parts of external origin.

This evidence must include, as appropriate:

(a) the name and version number of a software product;
(b) the full identification of the work and its author, developer, *creator*, translator, data entry person, graphic designer, publisher, editor, photographer, producer;
(c) a copy of the licence to use the product or of the agreement granting the relevant rights to the contractor or a reference to this licence;
(d) a copy of the agreement or extract from the employment contract granting the relevant rights to the contractor where parts of the *results* were created by its *personnel*;
(e) the text of the disclaimer notice if any.

Provision of evidence does not release the contractor from its responsibilities if it is found that it does not hold the necessary rights, regardless of when and by whom this fact is revealed.

The contractor also warrants that it possesses the relevant rights or powers to execute the transfer and that it has paid or has verified payment of all due fees including fees due to collecting societies,

related to the final *results*.

II.13.6. Quotation of works in the result

In the *result*, the contractor must clearly point out all quotations of existing works. The complete reference should include as appropriate, the following: name of the author, title of the work, date and place of publication, date of creation, address of publication on the internet, number, volume and other information that allows the origin to be easily identified.

II.13.7. Moral rights of creators

By delivering the *results*, the contractor warrants that the *creators* will not object to the following on the basis of their moral rights under copyright:

(a) that their names be mentioned or not mentioned when the *results* are presented to the public;
(b) that the *results* be divulged or not after they have been delivered in their final version to the contracting authority;
(c) that the *results* be adapted, provided that this is done in a manner which is not prejudicial to the *creator*'s honour or reputation.

If moral rights on parts of the *results* protected by copyright may exist, the contractor must obtain the consent of *creators* regarding the granting or waiver of the relevant moral rights in accordance with the applicable legal provisions and be ready to provide documentary evidence upon request.

II.13.8. Image rights and sound recordings

If natural persons appear in a *result* or their voice or any other private element is recorded in a recognisable manner, the contractor must obtain a statement by these persons (or, in the case of minors, by the persons exercising parental authority) giving their permission for the described use of their image, voice or private element and, on request, submit a copy of the permission to the contracting authority. The contractor must take the necessary measures to obtain such consent in accordance with the applicable legal provisions.

II.13.9. Copyright notice for pre-existing rights

When the contractor retains *pre-existing rights* on parts of the *results*, reference must be inserted to that effect when the *result* is used as set out in Article I.8.1, with the following disclaimer: '© — year — European Union. All rights reserved. Certain parts are licensed under conditions to the EU', or with any other equivalent disclaimer as the contracting authority may consider best appropriate, or as the parties may agree on a case-by-case basis. This does not apply where inserting such reference would be impossible, notably for practical reasons.

II.13.10. Visibility of Union funding and disclaimer

When making use of the *results*, the contractor must declare that they have been produced under a contract with the Union and that the opinions expressed are those of the contractor only and do not represent the contracting authority's official position. The contracting authority may waive this obligation in writing or provide the text of the disclaimer.

II.14. Force majeure

II.14.1 If a party is affected by *force majeure*, it must immediately *notify* the other party, stating the nature of the circumstances, their likely duration and foreseeable effects.

II.14.2 A party is not liable for any delay or failure to perform its obligations under the *contract* if that delay or failure is a result of *force majeure*. If the contractor is unable to fulfil its contractual obligations owing to *force majeure*, it has the right to remuneration only for the services actually provided.

II.14.3 The parties must take all necessary measures to limit any damage due to *force majeure*.

II.14.4 *Force majeure* either suspends the *performance of the contract* as provided for in Article II.17 or leads to the termination of the contract as provided for in Article II.18. The effects of the suspension of the contract due to *Force Majeure* on the duration are laid down in Article I.3.3.

II.15. Liquidated damages for delay in delivery

II.15.1. Delay in delivery

Without prior notice of default to the contractor or prior judicial intervention being required, if the contractor fails to perform its contractual obligations within the applicable time limits set out in this *contract*, the contracting authority may claim liquidated damages for each day of delay using the following formula:

0.3 x (*V/d*)

where:

V is the price of the relevant order of services or deliverable or *result*;

d is the duration specified for delivery of the relevant services or deliverable or *result* or, failing that, the duration of *performance of the contract* specified in Article 3 of the Main Conditions expressed in days.

Liquidated damages for delay in delivery may be imposed together with a reduction in price under the conditions laid down in Article II.16 or a substitution of the contractor under the conditions laid down in Article II.4.11.

Any claim for liquidated damages does not affect (a) the contractor's liability for damages that liquidated damages would not cover, (b) the contracting authority's rights under Article II.18, nor (c) the contracting authority's rights under Article II.4.11 or (d) any other right or remedy that the contracting authority may have under the *contract*.

II.15.2. Procedure

The contracting authority must *formally notify* the contractor of its intention to apply liquidated damages for delay in delivery and the corresponding calculated amount.

The contractor has 30 days following the date of receipt to submit observations. After having received any observations submitted or, failing that, following the expiry of the time limit for submitting observations, the contracting authority must *notify* the contractor:

(a) of the withdrawal of its intention to apply liquidated damages; or

(b) of its final decision to apply liquidated damages and the corresponding amount.

II.15.3. Nature of liquidated damages

The parties expressly acknowledge and agree that any amount payable under this Article is not a penalty and, in view of all the circumstances including the legitimate interest of the contracting authority for a timely delivery to fulfil its mission of public services, represents a reasonable estimate of fair compensation for the damage that may be incurred by the contracting authority due to failure to provide the services within the applicable time limits set out in this *contract*.

II.16. Reduction in price

II.16.1. Quality standards

Without prior notice of default to the contractor or prior judicial intervention being required, if the contractor fails to provide the service in accordance with high quality standards, the state of the art in the industry and the provisions of the *contract* (in particular the tender specifications and the terms of its tender), the contracting authority may, even if this failure constitutes a breach that could trigger Article II.18.1, reduce the price in direct proportion to the difference, upon the time of the signature of the contract, between the value of the unperformed obligations or low quality delivery and the value of the agreed services. This includes, in particular, cases where the contracting authority cannot approve a *result*, report or deliverable, as defined in Article I.5, after the contractor has submitted the required additional information, correction or new version.

A reduction in price may be imposed together with liquidated damages for delay in delivery under the conditions of Article II.15.

Any reduction in price does not affect the contractor's liability or the contracting authority's rights under Article II.18 for damages that the reduction in price would not cover or any other right or remedy that the contracting authority may have under the *contract*.

II.16.2. Procedure

The contracting authority must *formally notify* the contractor of its intention to reduce the price and the corresponding calculated amount.

The contractor has 30 days following the date of receipt to submit observations. After having received any observations submitted or, failing that, following the expiry of time limit for submitting observations, the contracting authority must *notify* the contractor:

(a) of the withdrawal of its intention to reduce the price; or

(b) of its final decision to reduce the price and the corresponding amount.

II.17. Suspension of the performance of the contract

II.17.1. Suspension by the contractor

If the *performance of the contract* is affected by *force majeure*, the contractor may suspend the *performance of that contract*.

The contractor must immediately *formally notify* the contracting authority of the suspension. The *notification* must include a description of the *force majeure* and state when the contractor expects to resume the provision of services.

The contractor must *notify* the contracting authority as soon as it is able to resume *performance of*

the contract, unless the contracting authority has already terminated the *contract*.

The contracting authority is not entitled to compensation for suspension of any part of the *contract*, in the event of *force majeure*.

II.17.2. Suspension by the contracting authority

The contracting authority may suspend the *performance of the contract* or any part of it; including but not limited to payments:

(a) in case of *force majeure* affecting the *performance of the contract*;
(b) in order to verify whether the presumed *irregularities*, *fraud* or *breach of obligations* have actually occurred;
(c) if the procedure for awarding the contract or the *performance of the contract* proves to have been subject to *irregularities*, *fraud* or *breach of obligations*.

The contracting authority must *formally notify* the contractor of the suspension and the reasons for it. Suspension takes effect on the date of *formal notification*, or at a later date if the *formal notification* so provides.

The contracting authority must *notify* the contractor as soon as the verification is completed whether:

(a) it is lifting the suspension; or
(b) it intends to terminate the *contract* under Article II.18.1(f) or (j).

The contractor is not entitled to compensation for suspension of any part of the *contract*.

The contracting authority may in addition suspend the time allowed for payments in accordance with Article II.21.7.

II.18. Termination of the contract

II.18.1. Grounds for termination by the contracting authority

The contracting authority may terminate the contract in the following circumstances:

(a) if provision of the services under the contract has not actually started within 15 days of the scheduled date and the contracting authority considers that the new date proposed, if any, is unacceptable, taking into account Article II.11.2;
(b) if the contractor is unable to obtain any permit or licence required for *performance of the contract*;
(c) if the contractor fails to perform the contract in accordance with the tender specifications or is materially in breach of another contractual obligation;
(d) if the contractor or any person that assumes unlimited liability for the debts of the contractor is in one of the situations provided for in points (a) and (b) of Article 138(1) of the *Financial Regulation*;
(e) if the contractor or any *related person* is in one of the situations provided for in points (c) to (i) of Article 138(1) or in Article 138 (2) or in Article 138 (3) of the *Financial Regulation*;
(f) if the procedure for awarding the contract or the *performance of the contract* prove to have been subject to *errors*, *irregularities*, *fraud* or *breach of obligations*;
(g) if the contractor does not comply with applicable obligations under environmental, social and labour law established by Union law, national law, collective agreements or by the

international environmental, social and labour law provisions listed in Annex X to Directive 2014/24/EU;

(h) if the contractor is in a situation that could constitute a *conflict of interest* or a *professional conflicting interest* as referred to in Article II.7 and does not rectify the situation;

(i) if a change to the contractor's legal, financial, technical, organisational or ownership situation is likely to substantially affect the *performance of the contract* or substantially modify the conditions under which the contract was initially awarded, or a change regarding the exclusion situations listed in Art 138 of the *Financial Regulation* that calls into question the decision to award the contract or the contractor becomes subject to restrictive measures hindering the performance of the contract;

(j) in the event of *force majeure*, where either resuming implementation is impossible or the necessary ensuing amendments to the *contract* would mean that the tender specifications are no longer fulfilled or result in unequal treatment of tenderers or contractors;

(k) if the contractor is in breach of the data protection obligations resulting from Article II.9.2;

(l) if the contractor does not comply with the applicable data protection obligations resulting from Regulation (EU) 2016/679[7];

(m) if it is manifest that, at a later date and before such breach becomes effective, the contractor will materially fail to perform the contract in accordance with the tender specifications or will be materially in breach of another contractual obligation, unless the contractor provides the contracting authority with sufficient assurances of its future performance;

(n) where the contractor or any related entity or person has violated any provisions on security and confidentiality included in Articles I.11 and II.8.

II.18.2. Grounds for termination by the contractor

The contractor may terminate the *contract* if the contracting authority materially fails to comply with its obligations, in particular the obligation to provide the information needed for the contractor to perform the *contract* as provided for in the tender specifications.

The contractor may also terminate the *contract* in the event of *force majeure*, where resuming *performance* is impossible.

II.18.3. Procedure for termination

A party must *formally notify* the other party of its intention to terminate the *contract* and the grounds for termination.

The other party has 15 days following the date of receipt to submit observations, including the measures it has taken or will take to continue fulfilling its contractual obligations or, in the case of Article II.18.1(m), the assurances it gives to fulfil its contractual obligations in the future.

After having received any observations submitted or, failing that, following the expiry of the time limit for submitting observations, the party intending to terminate must *formally notify* the other party either of the withdrawal of its intention to terminate or of its final decision to terminate.

In the cases referred to in points (a) to (d), (g) to (i), (k) to (n) of Article II.18.1 and in Article II.18.2, the date on which the termination takes effect must be specified in the *formal notification*.

In the cases referred to in points (e), (f) and (j) of Article II.18.1, the termination takes effect on the

[7] Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation), OJ L 119, 4.5.2016, https://eur-lex.europa.eu/eli/reg/2016/679/2016-05-04?locale=en

day following the date on which the contractor receives *notification* of termination.

In addition, at the request of the contracting authority and regardless of the grounds for termination, the contractor must provide all necessary assistance, including information, documents and files, to allow the contracting authority to complete, continue or transfer the services to a new contractor or internally, without interruption or adverse effect on the quality or continuity of the services. The parties may agree to draw up a transition plan detailing the contractor's assistance unless such plan is already detailed in other contractual documents or in the tender specifications. The contractor must provide such assistance at no additional cost, except if it can demonstrate that it requires substantial additional resources or means, in which case it must provide an estimate of the costs involved and the parties will negotiate an arrangement in good faith.

II.18.4. Effects of termination

The contractor is liable for damage incurred by the contracting authority as a result of the termination of the *contract*, including the additional cost of appointing and contracting another contractor to provide or complete the services, except if the damage is a result of a termination in accordance with Article II.18.1(j) or Article II.18.2. The contracting authority may claim compensation for such damage.

The contractor is not entitled to compensation for any loss resulting from the termination of the *contract*, including loss of anticipated profits, unless the loss was caused by the situation specified in the first subparagraph of Article II.18.2.

The contractor must take all appropriate measures to minimise costs, prevent damage and cancel or reduce its commitments.

Within 60 days of the date of termination, the contractor must submit any report, deliverable or *result* and any invoice required for services that were provided before the date of termination.

In the case of joint tenders, the contracting authority may terminate the *contract* with each member of the group separately on the basis of points (d), (e), (g), (k) (l) and (m) of Article II.18.1, under the conditions set out in Article II.11.2.

II.19. Invoices, value added tax and e-invoicing

II.19.1. Invoices and value added tax

Invoices must contain the contractor's identification data, the amount, the currency and the date, as well as the contract reference.

Invoices must indicate the place of taxation of the contractor for value added tax (VAT) purposes and must specify separately the taxable amount per rate or exemption, the VAT rate applied and the VAT amount payable.

The contracting authority is exempt from all taxes and duties, including VAT, in accordance with Articles 3 and 4 of the Protocol 7 of the Treaty on the Functioning of the European Union on the privileges and immunities of the European Union and Article 151, §1 of the Directive 2006/112/CE.

The contractor must complete the necessary formalities with the relevant authorities to ensure that the supplies and services required for *performance of the contract* are exempt from taxes and duties, including VAT.

In case of joint tenders from a group of economic operators without separate legal personality, in order to allow the members of the group to complete the formalities with the relevant authorities to ensure the tax exemption, the contracting authority shall issue a VAT exemption certificate for each respective group member of the joint tender, if the transaction is taxable for VAT purposes as an intra-community purchase. Each certificate shall cover only the member's part of the service provided and shall include a description of it and its value.

The contracting authority shall attach to each contract an annex if part of the transaction is taxable for VAT purposes as a local purchase in Belgium. The leader shall include in the annex a description of the service supplied by each member of the group, specify its value and sign it. If the repartition of the tasks is not known at the moment of the contract signature, the group leader shall fill in the annex with the relevant information as soon as the repartition of the tasks is known and submit it to the Commission at the latest together with the invoices issued by each member of the group. The leader shall also send one copy of the annex to each member whose part of the service supplied is taxable for VAT purposes as a local purchase in Belgium.

Each member of the group shall issue an invoice to the Commission on its share/part of the service, as outlined in the above mentioned annex(es).

The Commission shall pay the amounts corresponding to these invoices to the leader on its bank account.

Payments to the leader will discharge the Commission from its payment obligation vis à vis the other members of the group.

For the group members (including leaders), if the transaction is taxable for VAT purpose as a local purchase in another Member State, local exemption rules apply.

For invoices sent to the contracting authority via email, the reception date must be considered as the date on which the request for payment is registered after reception in the functional mailbox of the contracting authority. The functional mailbox in which the payments requests are to be sent, should be provided in the *contract*.

II.19.2. E-invoicing

If the use of electronic exchange system has been activated under Article I.6.1, the contractor submits invoices in electronic format in compliance with Directive 2006/112/EC on VAT, through the *Portal*, in accordance with the *Portal* Terms and Conditions and using the forms and templates provided there, or through means of supported *interoperability* networks compliant with the Directive 2014/55/EU on electronic invoicing in public procurement.

For avoidance of doubt, the e-invoices must be issued in conformity with the repartition of tasks as per the annex mentioned in Article II.19.1 and the payment conditions described in the same article fully apply.

II.20. Price revision

If a price revision index is provided in Article I.4.2, this Article applies to it.

In that case, prices are fixed and not subject to revision during the first year of the contract.
At the beginning of the second and every following year of the contract, each price may be revised upwards or downwards at the request of one of the parties.

A party may request a price revision in writing no later than three months before the anniversary date of entry into force of the contract. The other party must acknowledge the request within 14 days of receipt.

At the anniversary date, the contracting authority must communicate the final index for the month in which the request was received, or failing that, the last provisional index available for that month. The contractor establishes the new price on this basis and communicates it as soon as possible to the contracting authority for verification.The price revision is calculated using the following formula:

$$Pr = 0{,}8 \times Po \times \left(\frac{Ir}{Io} \right) + 0{,}2 \times Po$$

where: Pr = revised price;

Po = price in the tender;

Io = index for the month in which the contract enters into force;

Ir = index for the month in which the request to revise prices is received.

II.21. Payments and guarantees

II.21.1. Date of payment

The date of payment is deemed to be the date on which the contracting authority's account is debited.

II.21.2. Currency

Payments are made in euros, unless another currency is provided for in Article I.5.1.

II.21.3. Conversion

The contracting authority makes any conversion between the euro and another currency at the daily euro exchange rate published in the Official Journal of the European Union, or failing that, at the monthly accounting exchange rate, as established by the European Commission and published on the website indicated below, applicable on the day when it issues the payment order.

The contractor makes any conversion between the euro and another currency at the monthly accounting exchange rate, established by the Commission and published on the website indicated below, applicable on the date of the invoice.

Exchange rate (InforEuro) | European Commission (europa.eu)[8]

II.21.4. Costs of transfer

The costs of the transfer are borne as follows:

[8] https://commission.europa.eu/funding-tenders/procedures-guidelines-tenders/information-contractors-and-beneficiaries/exchange-rate-inforeuro_en

(a) the contracting authority bears the costs of dispatch charged by its bank;
(b) the contractor bears the costs of receipt charged by its bank;
(c) the party causing repetition of the transfer bears the costs for repeated transfer.

II.21.5. Pre-financing, performance and money retention guarantees

If, as provided for in Article I.5, a financial guarantee is required for the payment of pre-financing, as performance guarantee or as retention money guarantee, it must fulfil the following conditions:

(a) the financial guarantee is provided by a bank or a financial institution approved by the contracting authority or, at the request of the contractor and with the agreement of the contracting authority, by a third party; and
(b) the guarantee shall have the effect of making the bank or financial institution or the third party provide irrevocable collateral security, or stand as first-call guarantor of the contractor's obligations without requiring that the contracting authority has recourse against the principal debtor (the contractor).

The contractor bears the cost of providing such guarantee.

Pre-financing guarantees must remain in force until the pre-financing is cleared against interim payments or payment of the balance. Where the payment of the balance takes the form of a debit note, the pre-financing guarantee must remain in force for three months after the debit note is sent to the contractor. The contracting authority must release the guarantee within the following month.

Performance guarantees cover compliance with contractual obligations until the contracting authority has given its final approval for the service. The performance guarantee must not exceed 10 % of the total price of the *contract*. The contracting authority must release the guarantee fully after final approval of the service, as provided for in the *contract*.

Retention money guarantees cover full delivery of the service in accordance with the *contract* including during the contract liability period and until the final approval of the service by the contracting authority. The retention money guarantee must not exceed 10 % of the total price of the *contract*. The contracting authority must release the guarantee after the expiry of the contract liability period as provided for in the *contract*.

The contracting authority must not request a retention money guarantee where it has requested a performance guarantee.

II.21.6. Interim payments and payment of the balance

The contractor must send an invoice for interim payment, as provided for in Article I.5 or in the tender specifications.

The contractor must send an invoice for payment of the balance within 60 days of the end of the period of provision of the services, as provided for in Article I.5 or in the tender specifications.

Payment of the invoice and approval of documents does not imply recognition of the regularity, authenticity, completeness and correctness of the declarations and information they contain.

Payment of the balance may take the form of recovery as provided for in Article II.21.

II.21.7. Suspension of the time allowed for payment

The contracting authority may suspend the payment periods specified in Article I.5 at any time by

notifying the contractor (or leader in the case of a joint tender) that its invoice cannot be processed. The reasons the contracting authority may cite for not being able to process an invoice are:

(a) because it does not comply with the contract;
(b) because the contractor has not produced the appropriate documents or deliverables; or
(c) because the contracting authority has observations on the documents or deliverables submitted with the invoice;
(d) because it is manifest that, at a later date and before such breach becomes effective, the contractor will materially fail to perform the *contract* in accordance with the tender specifications or will be in material breach of another contractual obligation, unless the contractor provides the contracting authority with sufficient assurances of its future performance.

The contracting authority must *notify* the contractor (or leader in the case of joint tender) as soon as possible of any such suspension, giving the reasons for it. In cases b) and c) referred above, the contracting authority shall *notify* the contractor (or leader in case of a joint tender) the time limits to submit additional information or corrections or a new version of the documents or deliverables if the contracting authority requires it.

Suspension takes effect on the date the contracting authority sends the *notification*. The remaining payment period resumes from the date on which the requested information, sufficient assurances or revised documents are received or the necessary further verification, including on-the-spot checks, is carried out. Where the suspension period exceeds two months, the contractor (or leader in the case of a joint tender) may request the contracting authority to justify the continued suspension.

Where the payment periods have been suspended following rejection of a document referred to in the first paragraph of this Article and the new document produced is also rejected, the contracting authority reserves the right to terminate the *contract* in accordance with Article II.18.1(c).

II.21.8. Interest on late payment

On expiry of the payment periods specified in Article I.5, the contractor (or leader in the case of a joint tender) is entitled to interest on late payment at the rate applied by the European Central Bank for its main refinancing operations in euros (the reference rate) plus eight points. The reference rate is the rate in force, as published in the C series of the *Official Journal of the European Union*, on the first day of the month in which the payment period ends.

Suspension of the payment period as provided for in Article II.21.7 is not considered as giving rise to late payment.

Interest on late payment covers the period running from the day following the due date for payment up to and including the date of payment as defined in Article II.21.1.

However, when the calculated interest is EUR 200 or less, it must be paid to the contractor (or leader in the case of a joint tender) only if it requests it within two months of receiving late payment.

II.22. Reimbursements

II.22.1 If provided for in the special conditions or in the tender specifications, the contracting authority must reimburse expenses directly connected with the provision of the services either when the contractor provides it with supporting documents or on the basis of flat rates.

II.22.2 The contracting authority reimburses travel and subsistence expenses on the basis of the shortest itinerary and the minimum number of nights necessary for overnight stay at the destination.

II.22.3 The contracting authority reimburses travel expenses as follows:

(a) travel by air: up to the maximum cost of an economy class ticket at the time of the reservation;

(b) travel by boat or rail: up to the maximum cost of a first class ticket;

(c) travel by car: at the rate of one first class rail ticket for the same journey and on the same day.

In addition, the contracting authority reimburses travel outside Union territory if it has given its prior written approval for the expenses.

II.22.4 The contracting authority reimburses subsistence expenses on the basis of a daily subsistence allowance as follows:

(a) for journeys of less than 200 km for a return trip, no subsistence allowance is payable;

(b) the daily subsistence allowance is payable only on receipt of supporting documents proving that the person concerned was present at the destination;

(c) the daily subsistence allowance takes the form of a flat-rate payment to cover all subsistence expenses, including meals, local transport including transport to and from the airport or station, insurance and sundries;

(d) the daily subsistence allowance is reimbursed at the flat rates specified in Article I.4.3;

(e) accommodation is reimbursed on receipt of supporting documents proving the necessary overnight stay at the destination, up to the flat rate ceilings specified in Article I.4.3.

II.22.5 The contracting authority reimburses the cost of shipment of equipment or unaccompanied luggage if it has given its prior written approval for the expense.

II.23. Recovery

II.23.1 If an amount is to be recovered under the terms of the contract, the contractor must repay the contracting authority the amount in question.

II.23.2 Recovery procedure

Before recovery, the contracting authority must *formally notify* the contractor of its intention to recover the amount it claims, specifying the amount due and the reasons for recovery and inviting the contractor to make any observations within 30 days of receipt.

If no observations have been submitted or if, despite the observations submitted, the contracting authority decides to pursue the recovery procedure, it must confirm recovery by *formally notifying* a debit note to the contractor, specifying the date of payment. The contractor must pay in accordance with the provisions specified in the debit note.

If the contractor does not pay by the due date, the contracting authority may, after informing the contractor in writing, recover the amounts due:

(a) by offsetting them against any amounts owed to the contractor by the Union or by the European Atomic Energy Community or by an executive agency when it implements the Union budget;
(b) by calling in a financial guarantee if the contractor has submitted one to the contracting authority;
(c) by taking legal action.

II.23.3 Interest on late payment

If the contractor does not honour the obligation to pay the amount due by the date set by the contracting authority in the debit note, the amount due bears interest at the rate indicated in Article II.21.8. Interest on late payments will cover the period starting on the day after the due date for payment and ending on the date when the contracting authority receives the full amount owed.

Any partial payment is first entered against charges and interest on late payment and then against the principal amount.

II.23.4 Recovery rules in the case of joint tender

If the contract is signed by a group (joint tender), the members of the group are jointly and severally liable under the conditions set out in Article II.6 (liability). The contracting authority shall send the debit note first to the leader of the group.

If the leader does not pay by the due date the whole amount, and if the amount due cannot be offset or can only be offset partially in accordance with Article II.23.2 (a), the contracting authority may claim the amount still due from any other member or members of the group by respectively *notifying* them with a debit note in conformity with the provisions laid down in Article II.23.2.

II.24. Checks and audits

II.24.1 The contracting authority may check or require an audit on the *performance of the contract*. This may be carried out by any outside body authorised to do so on its behalf.

Such checks and audits may be initiated at any moment during the *performance of the contract* and up to five years starting from the payment of the balance.

The audit procedure is initiated on the date of receipt of the relevant letter sent by the contracting authority. Audits are carried out on a confidential basis.

II.24.2 The contractor must keep all original documents stored on any appropriate medium, including digitised originals if authorised under national law, for a period of five years starting from the payment of the balance.

II.24.3 The contractor must grant the contracting authority's staff and outside personnel authorised by the contracting authority the appropriate right of access to sites and premises where the contract is performed and to all the information, including information in electronic format, needed to conduct such checks and audits. The contractor must ensure that the information is readily available at the moment of the check or audit and, if so requested, that information is handed over in an appropriate format.

II.24.4 On the basis of the findings made during the audit, a provisional report is drawn up. The contracting authority or its authorised representative must send it to the contractor, which has 30 days following the date of receipt to submit observations. The contractor must receive the final report within 60 days following the expiry of the deadline to submit observations.

On the basis of the final audit findings, the contracting authority may recover all or part of the payments made in accordance with Article II.23 and may take any other measures which it considers necessary.

II.24.5 In accordance with Council Regulation (Euratom, EC) No 2185/96 of 11 November 1996 concerning on-the-spot checks and inspection carried out by the Commission in order to protect the European Communities' financial interests against *fraud* and other *irregularities* and Regulation (EU, Euratom) No 883/2013 of the European Parliament and of the Council of 11 September 2013 concerning investigations conducted by the European Anti-Fraud Office, the European Anti-Fraud Office may carry out investigations, including on the spot checks and inspections, to establish whether there has been *fraud*, corruption, *irregularities* or any other illegal activity under the contract affecting the financial interests of the Union. Findings arising from an investigation may lead to criminal prosecution under national law.

The investigations may be carried out at any moment during the provision of the services and up to five years starting from the payment of the balance.

II.24.6 The Court of Auditors and the European Public Prosecutor's Office established by Council Regulation (EU) 2017/1939[9] ('the EPPO') and, for the processing of personal data, the European Data Protection Supervisor have the same rights as the contracting authority, particularly right of access, for the purpose of checks, audits and investigations.

[9] Council Regulation (EU) 2017/1939 of 12 October 2017 implementing enhanced cooperation on the establishment of the European Public Prosecutor's Office

Annex I – TENDER SPECIFICATIONS ([REFERENCE NO])

Annex II – CONTRACTOR'S TENDER ([REFERENCE NO/SUBMISSION ID])

Annex III – Declaration on the list of pre-existing rights

I, [*insert name of the authorised representative of the contractor*] representing [*insert name of the contractor*] ('the contractor'), party to the contract **"Supporting the AI Observatory" - EC-CNECT/2026/OP/0173**, No. [contract number] [option 1: warrant that the results are free of rights or claims from creators or from any third parties for any use the contracting authority may envisage and declare that the results do not contain any pre-existing rights to the results or parts of the results or to pre-existing materials as defined in the above-mentioned contract.] [option 2: warrant that the results and the pre-existing material incorporated in the results are free of rights or claims from creators or from any third parties for any use the contracting authority may envisage and declare that the results contain the following pre-existing rights:]

Please fill in the table – one line per pre-existing right

Result concerned	Pre-existing material concerned	Rights to pre-existing material	Identification of rights' holder

Date, place, signature

ANNEX IV[1] - GROUP MEMBERS' SHARES IN TOTAL CONTRACT VALUE FOR VAT PURPOSES

Direct Contract EC-CNECT/2026/OP/0173 - "Supporting the AI Observatory"

Contractor (Member of the group)	Description of the supplies/services provided by the member	Total value of the supplies/services provided by the member

The members of the group are jointly and severally liable to the contracting authority under the conditions set out in the relevant provisions of the contract.

Signature of the Leader of the Group

[*Name of Leader*]
Done on [*date*]

[1] Annex applicable in case of contracts concluded with a group of economic operators where the group does not have legal personality. The annex must be filled in by the leader when the total value of the services/supplies provided by each member is known. The annex must be submitted to the contracting authority at the latest together with the invoices issued by each member of the group. The leader must send one copy of the annex to each member whose part of the supply/service provided is taxable for VAT purposes as a local purchase in Belgium.

Electronically signed on 02/10/2026 13:53 (UTC+02) in accordance with Article 11 of Commission Decision (EU) 2021/2121